
Cross-Border Investing Trends



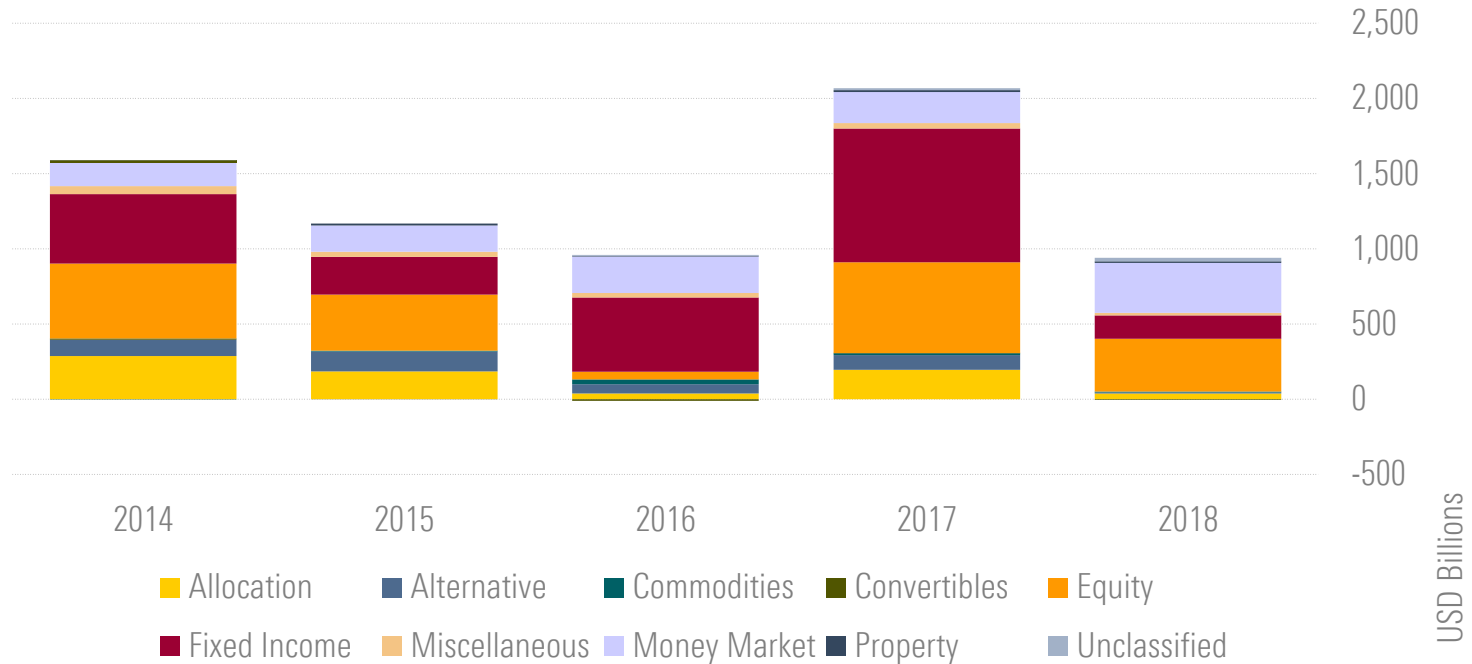
March 2019

Wing Chan

Director of Manager Research Practice, EMEA & Asia

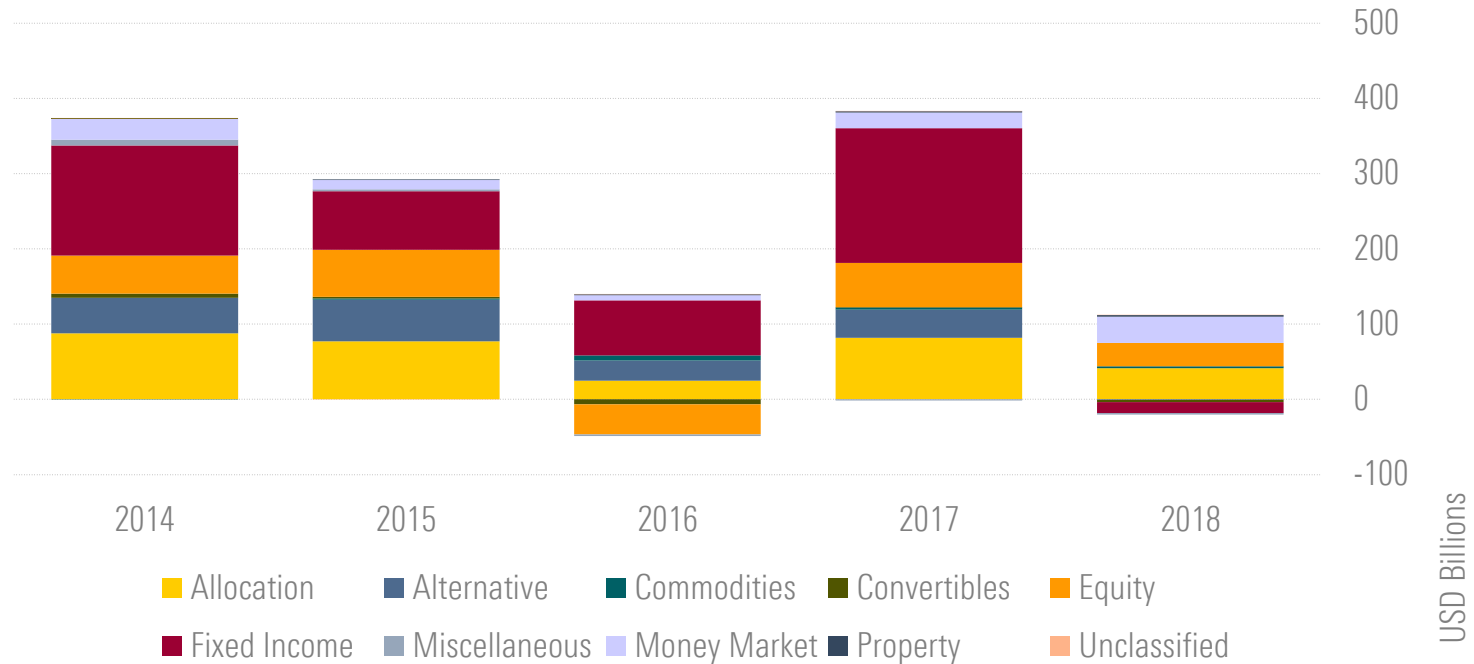
Responsible Officer of Morningstar Investment Management Asia Limited

Global Flows Decelerated Considerably in Volatile 2018



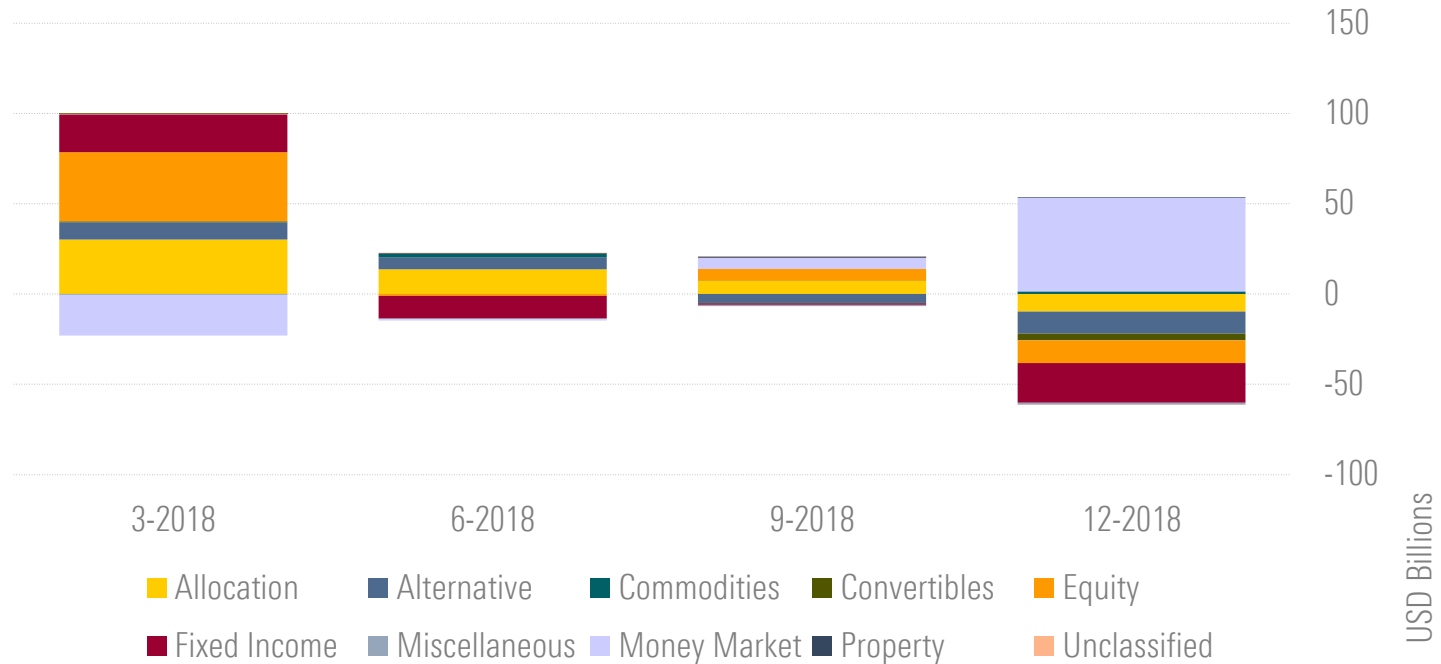
Source: Morningstar Direct. Data as of 31 December, 2018.

Cross-Border Investors Lost Their Appetite For Bond Funds



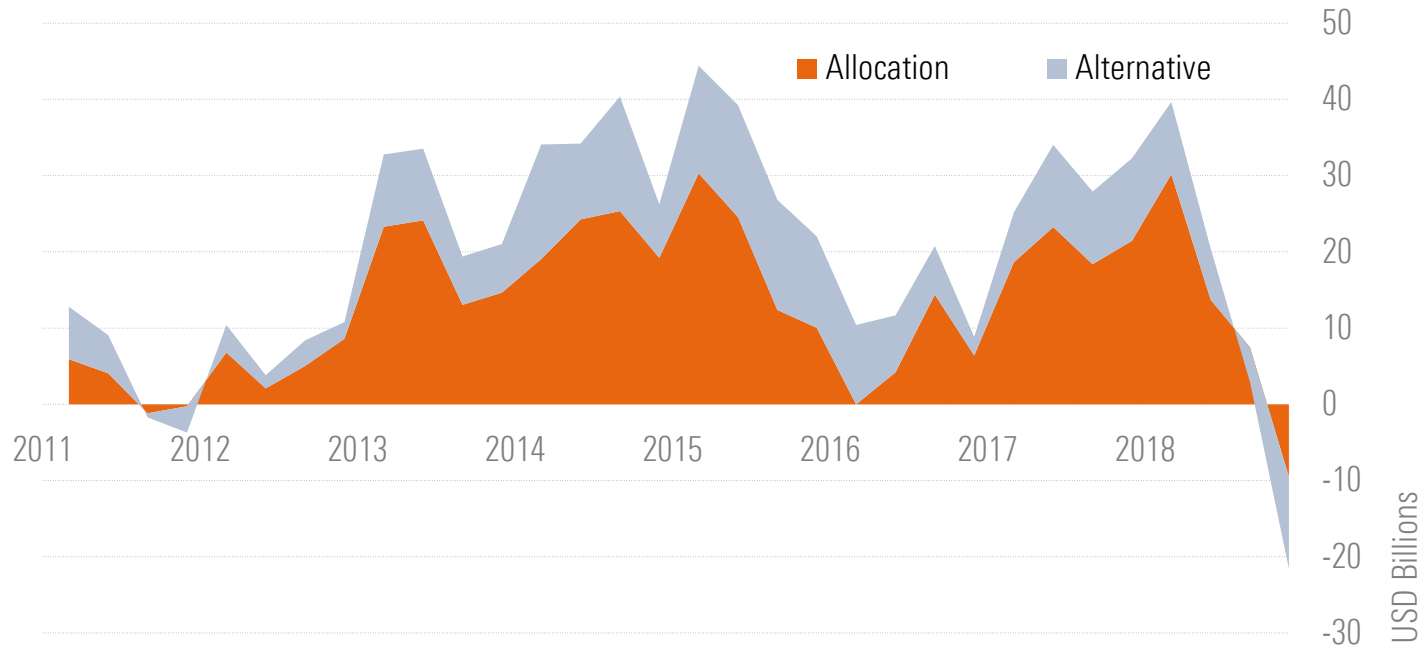
Source: Morningstar Direct. Data as of 31 December, 2018.

Q4 Correction Clearly Visible in 2018 Asia & Cross-Border Fund Flows



Source: Morningstar Direct. Data as of 31 December, 2018.

For Allocation and Alternative Funds, A Sharp Shift in Flows



Source: Morningstar Direct. Data as of 31 December, 2018.

Investment Ratings & Recent Enhancements

Investment Ratings



Source: Morningstar, Inc. For illustrative purposes only.

Five Pillars of Morningstar Analyst Rating

Our five-pillar research framework reinforces a consistent, long-term investment process and gives advisors the resources they need to provide justified recommendations that are well suited to client needs.



People

Team Quality/Experience

Team Depth

Team Continuity

Alignment of Interests



Process

Security Selection/Idea Generation

Valuation Discipline

Portfolio Construction/
Risk Management

Capacity



Parent

Structure/Ownership

Organization Stability/
Financial Strength

Culture/Stewardship

Regulatory/Compliance



Performance

Rolling Risk-Adjusted Returns
vs. Style Benchmark

Downside Statistics

Attribution



Price

Expense Ratio Relative to
Peer Group

Source: Morningstar, Inc. For illustrative purposes only.

Investment Ratings

While the Analyst Ratings represent our most valuable offering, we augment them with other measures and tools. Each has different strengths to aid in fund selection.

Common Fund Evaluation Systems	Scale	Type	Forward-Looking	Transparent	Broad Coverage
Morningstar Analyst Ratings		Subjective	●	●	
Morningstar Ratings		Objective		●	●
Morningstar Quantitative Ratings		Objective	●	●	●
Morningstar Sustainability Ratings		Objective		●	●
Morningstar Due Diligence Scorecards	Numerical Rankings	Objective	●	●	●

Enhancing the Morningstar Sustainability Rating

CURRENT

Latest Portfolio's Sustainability scores

Morningstar Category

Peer group size threshold: 10

Portfolio asset coverage threshold: 50%

Excludes Fund of Funds

NEW

Historical Sustainability scores

Morningstar Global Category

Peer group size threshold: 30

**Portfolio asset coverage threshold:
67%**

Includes Fund of Funds

The Morningstar Portfolio Carbon Designation

- The Morningstar Portfolio Carbon Risk Score assesses how companies in a portfolio manage carbon risk
- At least 67% of assets must have a carbon risk rating from Sustainalytics to receive a Portfolio Carbon Risk Score
- The Morningstar Portfolio Fossil Fuel Involvement is the portfolio's percentage exposure to fossil fuels
- The Morningstar Low Carbon Designation is given to portfolios with low carbon-risk score and low levels of fossil fuel exposure



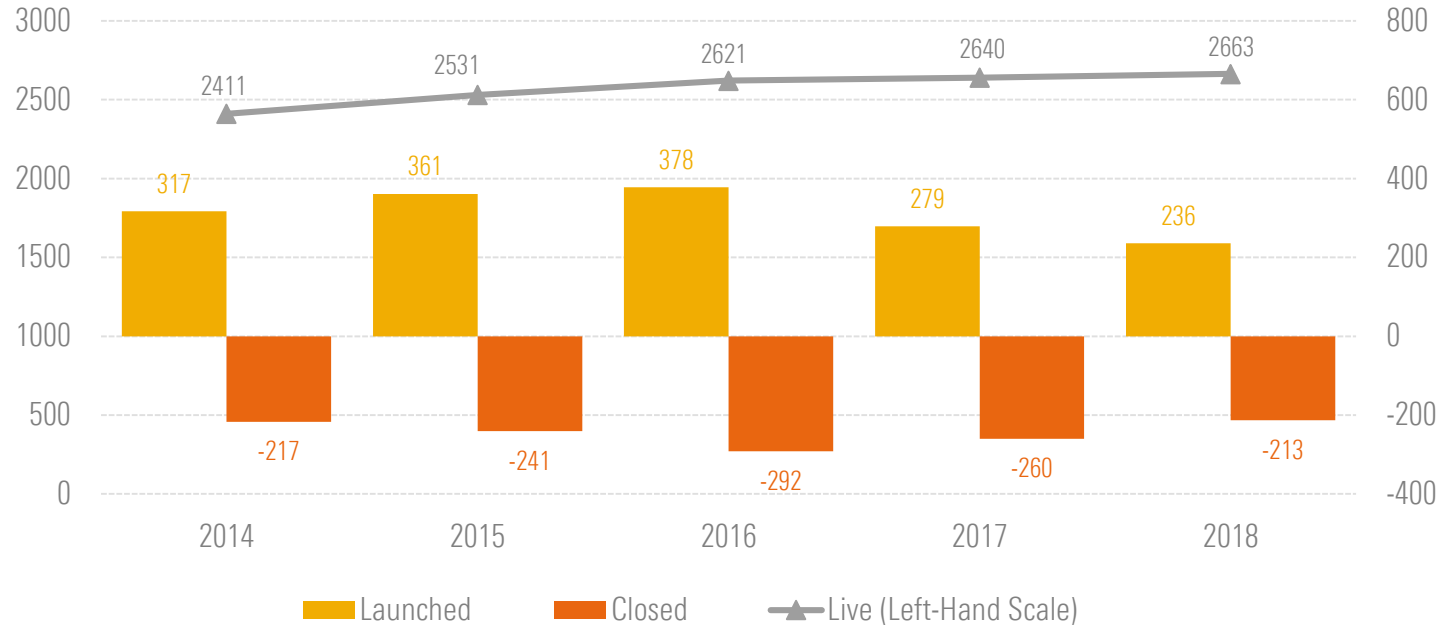
Thought Leadership

Thought Leadership Highlights 2018-19



- Liquid Alternative Landscape Report
- Active/Passive Barometer
- Finding Bond Funds That Can Beat Their Benchmarks After Fees
- The Effects of the Retail Distribution Review on Fund Fees in the UK

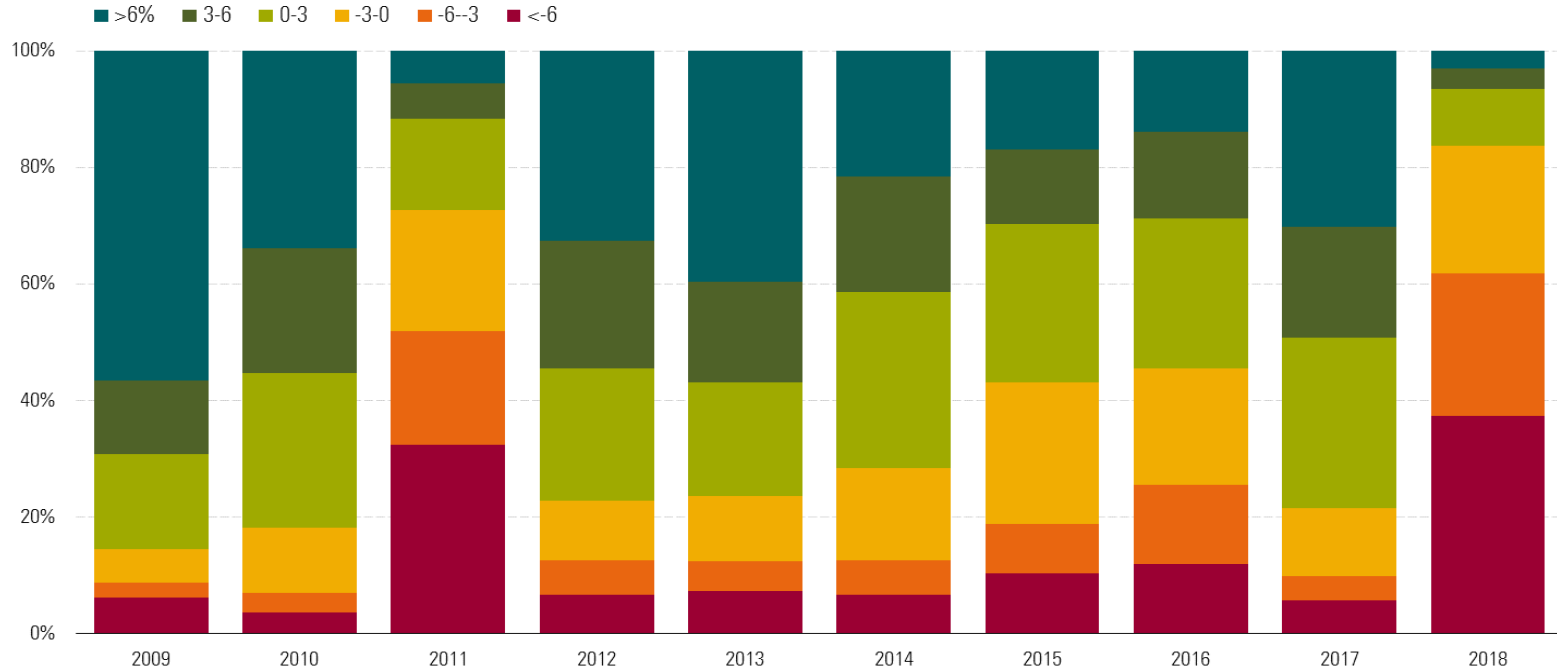
Liquid Alternative Landscape: Turnover Has Slowed But Still Considerable



Source: Morningstar Direct. Data as of 31 December, 2018.

Liquid Alternative Landscape: 2018 Was A Torturous Year

Fund calendar year returns (oldest share class in base currency)



Source: Morningstar Direct. Data as of 31 December, 2018.

Active/Passive Barometer – Results from Year-End 2018

Success ratios (%) in a sample of broadly diversified categories

Category	3-Year	5-Year
US Large-Cap Blend Equity	18	21
Europe Large-Cap Blend Equity	13	18
Japan Large-Cap Equity	31	26
Japan Small/Mid-Cap Equity	67	62
Global Emerging Markets Equity	20	32
Asia-Pacific ex-Japan Equity	47	39
Hong Kong Equity	16	18
India Equity	60	74
USD Diversified Bond	31	9
USD Government Bond	9	28
USD Corporate Bond	39	31

Data as of 31 Dec 2018. Source: Morningstar

The Past, Present and Future of the Chinese Asset Management Industry



March 2019

Wing Chan

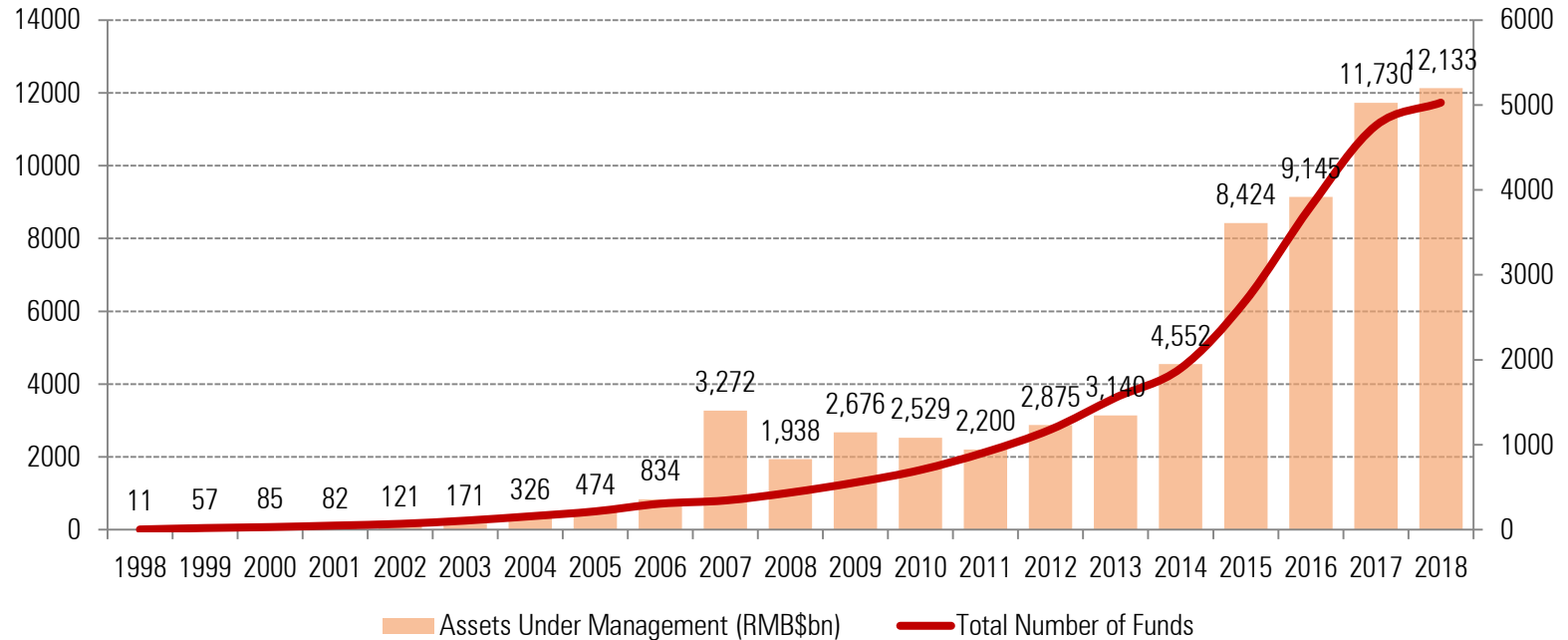
Director of Manager Research Practice, EMEA & Asia

Responsible Officer of Morningstar Investment Management Asia Limited

A Journey of Rapid Growth & Transformation

Morningstar Manager Research

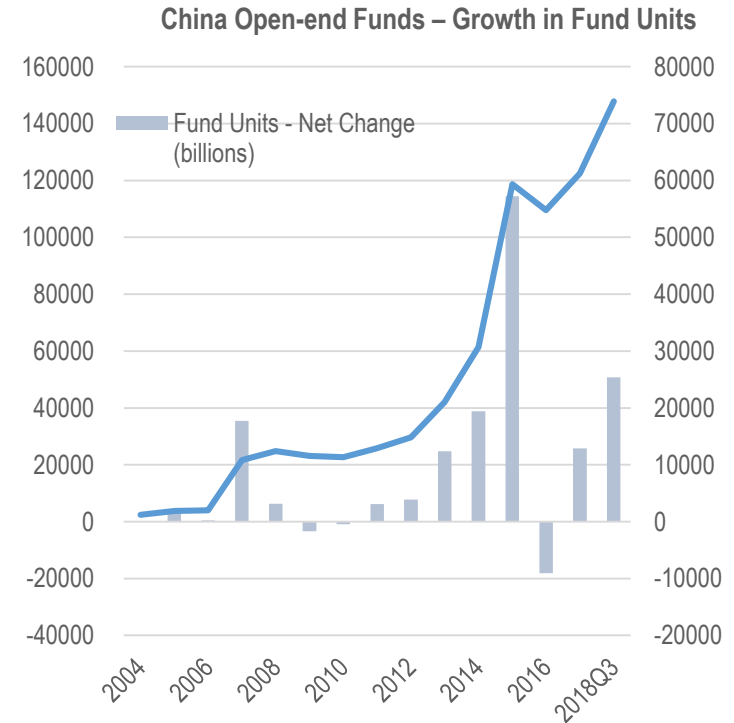
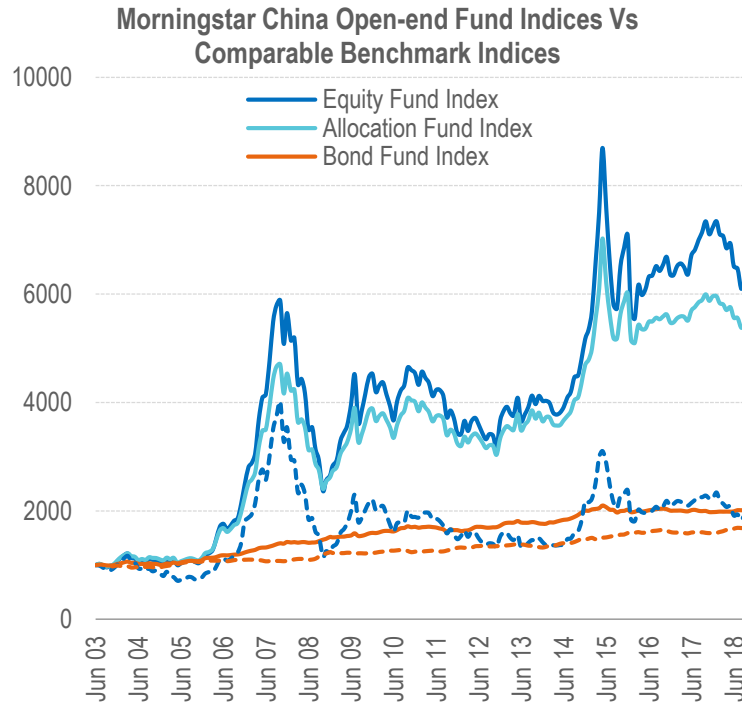
The local asset management industry has grown by over 40% p.a. since 1998



Source: Morningstar, data as of 2018-09-30

Morningstar Manager Research

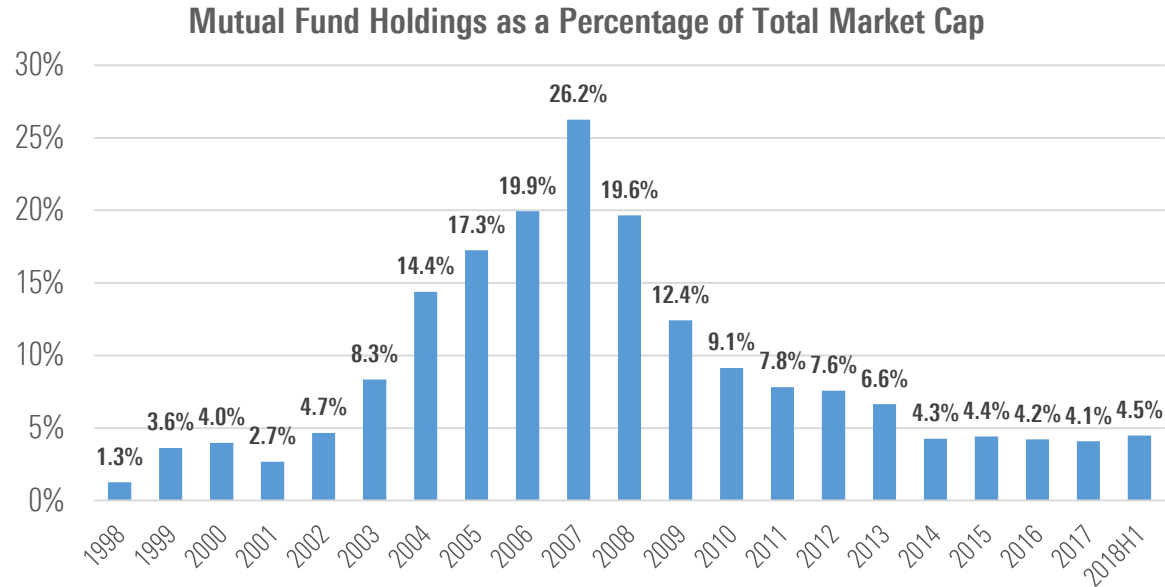
Growth underpinned by a combination of (steady) inflows & outperformance



Source: Morningstar, data as of 2018-06-30

The “buy-side” has little pricing power within the Chinese equity market

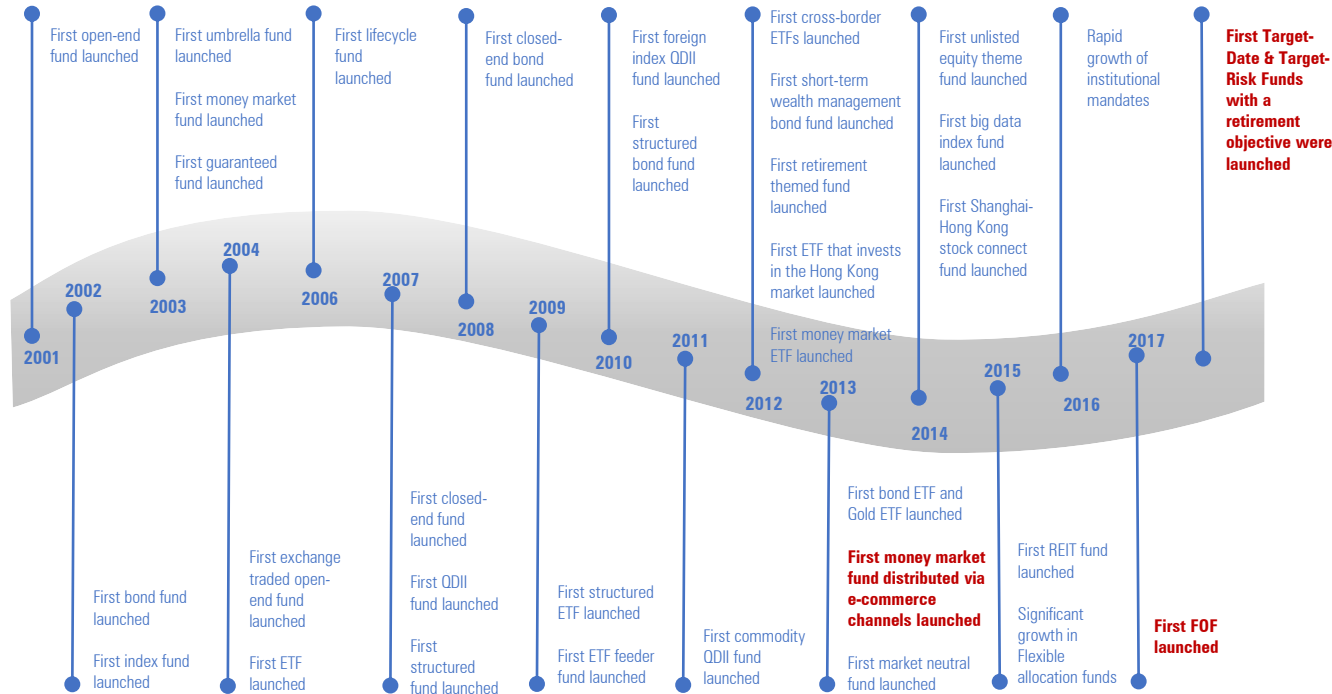
The market is a long way from being dominated by institutional/professional investors



Source: Morningstar, data as of 2018-06-30

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Fund products have become increasingly specialised over time



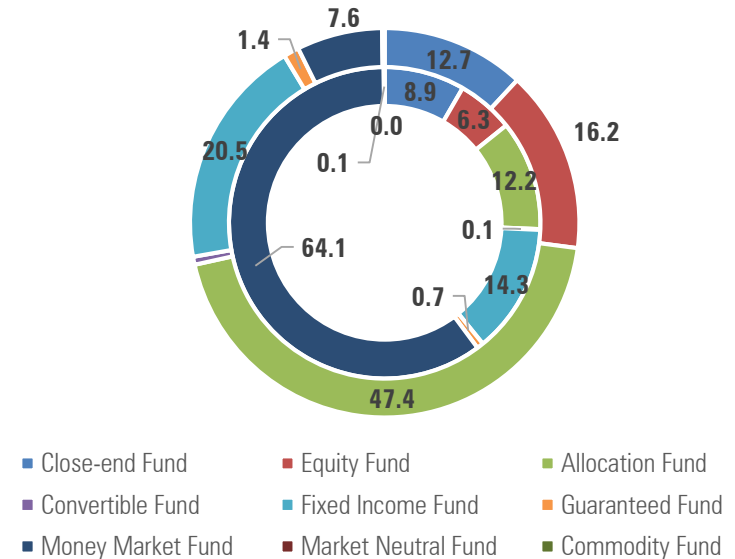
Source: Morningstar Direct. as of 2018-07-31

Morningstar Manager Research

More products ≠ More assets

- ▶ **Money market funds** dominate the market at 64% (of total market size). This compares to Active Equity funds at 6%.
- ▶ Despite the recent boom in **flexible allocation funds** (they make up almost half of all fund products), they only command 12.2% of assets.

Breakdown of Fund Size and Number of Funds, by Category (%)

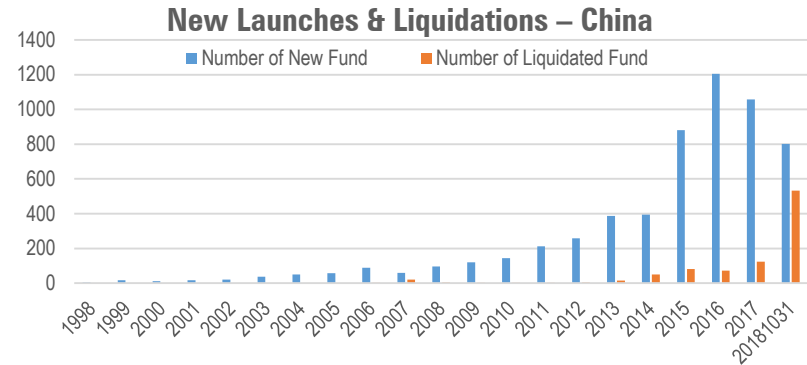
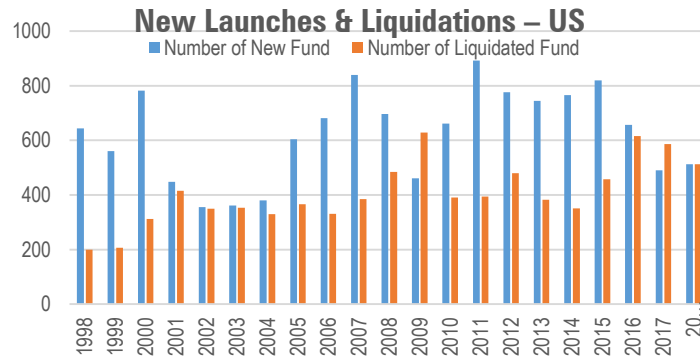


Source: Morningstar

Morningstar Manager Research

Liquidations have accelerated in recent years

- ▶ After a period of rapid fund launches in China, we noticed that the pace has slowed and encouragingly, we are seeing some liquidations on the back of recent regulatory developments.



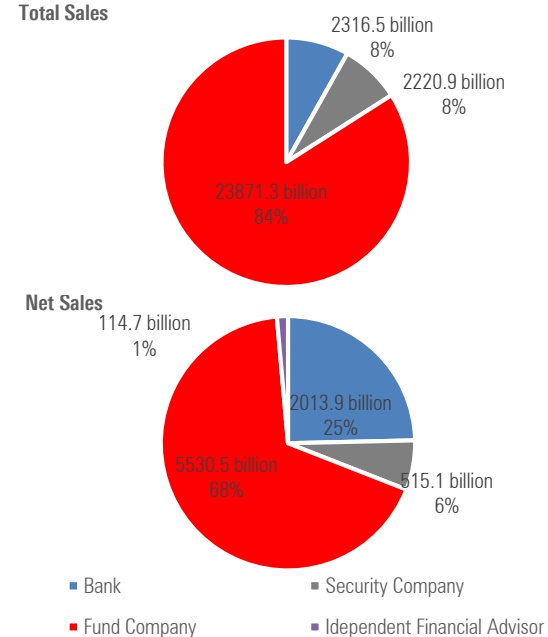
- ▶ In comparison, the number of fund liquidations typically make up at least half the number of fund launches in the US. In fact, there have been as many fund liquidations as fund launches in recent years – and this is often an indication of better stewardship among fund firms.

Source: Morningstar, data as of 2018-10-31

Online Distribution/Sales are Becoming Increasingly Popular

- ▶ Like many mutual fund markets in Asia, banks have historically dominated the distribution of funds in China – ***but this is changing.***
- ▶ The success of third-party online distributors and asset managers distributing their products directly to the end-investor is spurring increasing competition and driving costs down for investors.
- ▶ Money market funds were the main driver behind the significant sales growth in recent years.

Breakdown of Open-end Fund Sales By Distribution Channel in RMB, 2016



Source: Asset Management Association of China

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Global Fund Investor Experience – How China fares

▶ **Regulation and Taxation**

- ▶ Positive steps taken to open domestic capital market to foreign investors

▶ **Disclosure**

- ▶ Full disclosure of fund manager names and tenure
- ▶ Portfolio Holding Disclosure: full disclosure for equity funds on a semi-annual basis is in line with UCITS standards, but (very) partial disclosure of only top-5 holdings for fixed income funds is clearly insufficient.
- ▶ Fund sizes are only disclosed on a quarterly basis.

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Global Fund Investor Experience – How China fares

► Fees and Expenses

- China domiciled funds have higher total expense ratios and this is particularly the case for equity and allocation funds
- There are no clean share classes – retrocessions are common
- This table outlines the median asset-weighted expense ratios across major asset classes:

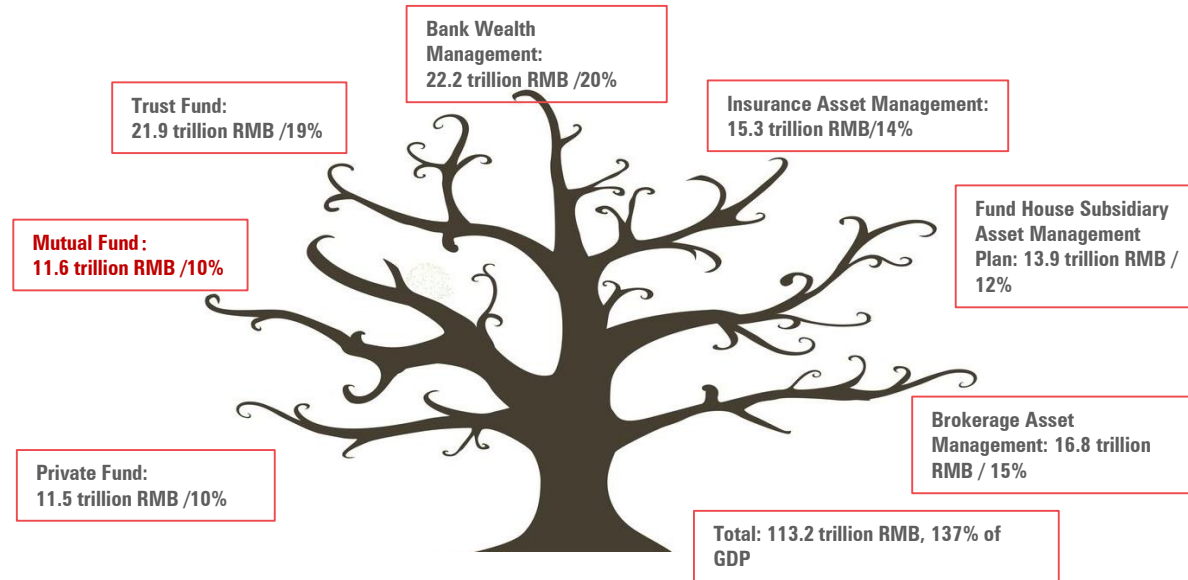
Fixed-Income / Domiciled	Equity / Domiciled	Allocation / Domiciled
0.61%	1.73%	1.76%

► Sales

- Open-architecture platforms are common
- Mobile e-commerce platforms are revolutionising fund sales, especially among Gen Y investors
- Advisors are not required to disclose conflicts of interest

Opportunities

Penetration on public mutual funds remains low, but this can easily change



Source: People's Bank of China, Insurance Asset Management Association of China. Data as of 31 December 2017

Catalyst #1 – Tighter regulations expected to steer flows away from WMPs

- ▶ April 2018: *Guiding Opinions on Regulating the Asset Management Business of Financial Institutions*
- ▶ September 2018: *Measures for the Administration of Bank Wealth Management Product*
- ▶ October 2018: *Measures for the Administration of Asset Management Subsidiary*

- ▶ **Implications of tightened regulations**
 - ▶ Wealth management products (WMPs) that provide implicit guarantee on return and principal are no longer available for sale.
 - ▶ Winding down of existing WMPs in the coming years.
 - ▶ Leveling of playing field between WMPs and mutual funds – which typically do not offer guarantee on return nor principal
 - ▶ Greater focus on client suitability

Catalyst #2 – Pension reform can fuel the next stage of growth

The development of Fund of Funds (FoFs) represents a major product evolution that allows the asset management industry to better cater for retirement needs.

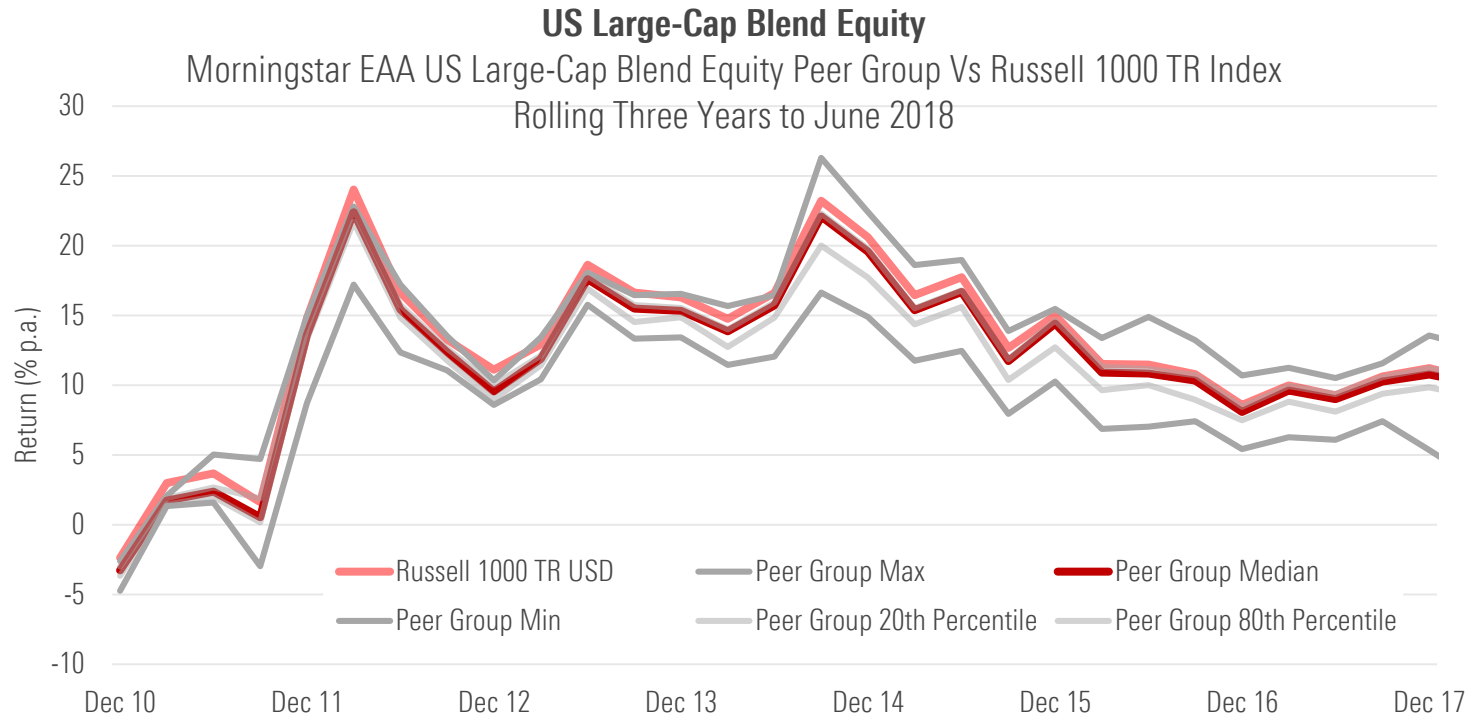
Regulations	Impact on Fund of Funds (FoFs)
In <i>Securities Investment Fund Law of the PRC (2013 Revision)</i> , mutual funds are allowed to invest over 80% of its assets in other funds.	Provides the legal framework for the eventual inauguration of FoFs.
Issued in 2016, <i>Operation of Publicly Offered Securities Investment Funds—Guideline for Fund of Fund</i> sets out rules around FoF's risk exposure, price, shareholder and fund information disclosure.	Outlines the investment and commercial parameters for the industry as asset management firms come up with new FoF strategies and products
In 2018, Guidelines for Pension Target Securities Investment Funds (for Trial Implementation) released rules on pension funds' structure, investment strategy and mandate, as well as (tenor) requirements on asset management firms and portfolio managers	The rules encourages the development of FoFs that adopt a long-term investment and asset allocation mindset, with the ultimate aim to better serve investors' retirement needs.
<i>The Administration of Tax Collection in the Pilot Program of Personal Tax-Deferred Commercial Pension Insurance</i> issued in 2018.	This pilot scheme allows personal pension accounts to be set up – initially this includes only commercial retirement insurance but it is expected that mutual funds will be included as eligible investents in 2019.

Source: Morningstar, for illustrative purpose only

Investing in China

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Many investors have given up on active strategies...



Source: Morningstar, Inc. as of 2018-06-30

Morningstar Manager Research

But the reward for active is self-evident... especially in A-shares



Source: Morningstar, Inc. as of 2018-06-30

Investing in China – What does it actually mean?

- ▶ China Vs Greater China Vs All China
- ▶ A-shares, B-shares, H-shares, ADRs
- ▶ QFII, RQFII, Stock Connect
- ▶ Onshore Vs Offshore Managers
 - Onshore managers typically focus on domestic A-shares
 - Offshore managers (via UCITS) typically focus on H-shares, ADRs, and (increasingly) A-shares

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Five Pillars of Morningstar Analyst Ratings

Every Morningstar analyst follows the same five-pillar research framework.



People

- Team Quality/Experience
- Team Depth
- Team Continuity
- Alignment of Interests



Process

- Security Selection/Idea Generation
- Valuation Discipline
- Portfolio Construction/Risk Management
- Capacity



Parent

- Structure/Ownership
- Organization Stability/Financial Strength
- Culture/Stewardship
- Regulatory/Compliance



Performance

- Rolling Risk-Adjusted Returns vs. Style Benchmark
- Downside Statistics
- Attribution



Price

- Expense Ratio Relative to Peer Group

Source: Morningstar, Inc. For illustrative purposes only.

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People – The portfolio manager usually “calls all the shots”

- ▶ Unlike many offshore/global managers, where the investment team usually shares a common investment philosophy/style/process, it is typically the portfolio manager who typically define his/her investment approach within an onshore strategy.
- ▶ Combined with the fact that onshore managers tend to be completely benchmark agnostic and have considerable leeway to use cash as a tactical tool, **an onshore strategy’s success is very much dependent on the portfolio manager.**
- ▶ Most funds have no backup managers, at least on a formal basis.

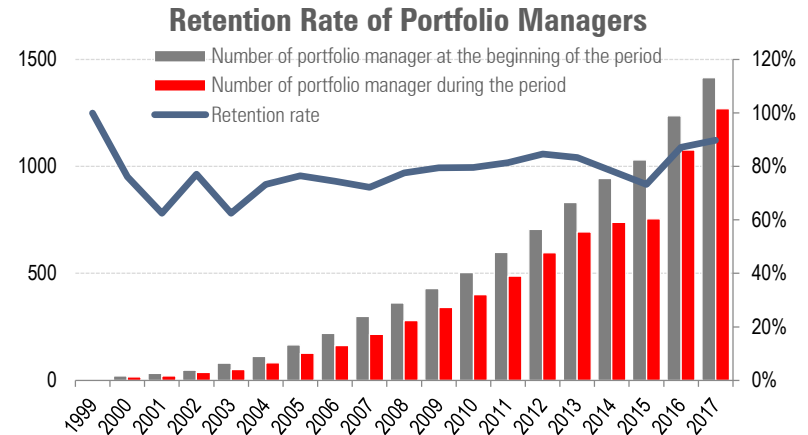
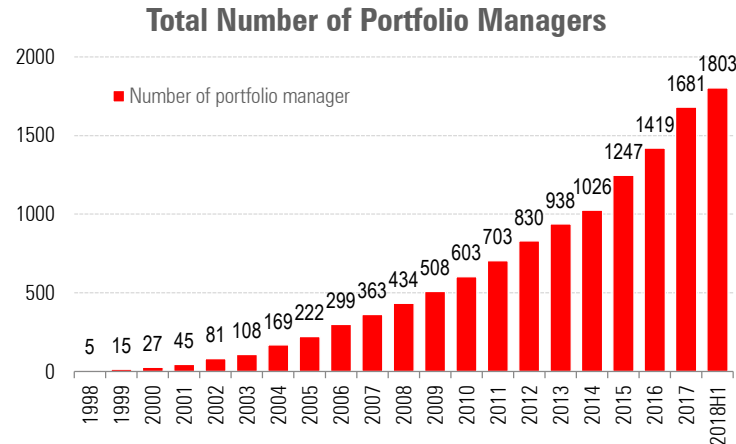
E Fund Kexiang

Inception Date	2008/11/13
Morningstar Category	China Fund Aggressive Allocation Fund
Morningstar Rating Overall	★★★★
Fund Size	\$ 396,725,381
Manager Name	Hao Chen
Manager Tenure (Longest)	4.50
Management Fee	1.50
Total Ret % Rank Cat 3 Yr (Mo-End)	22

Morningstar Manager Research

People – But experience is a rare commodity

- ▶ When assessing the investment experience of onshore Chinese managers, it is important to recognise the relative youth of the local asset management industry.
- ▶ While the talent pool has certainly grown, retention and long-term stability remain a challenge.
- ▶ Relative to an average tenure of <3 years (within the onshore market), it's less of a challenge to identify experienced portfolio managers within the offshore market.

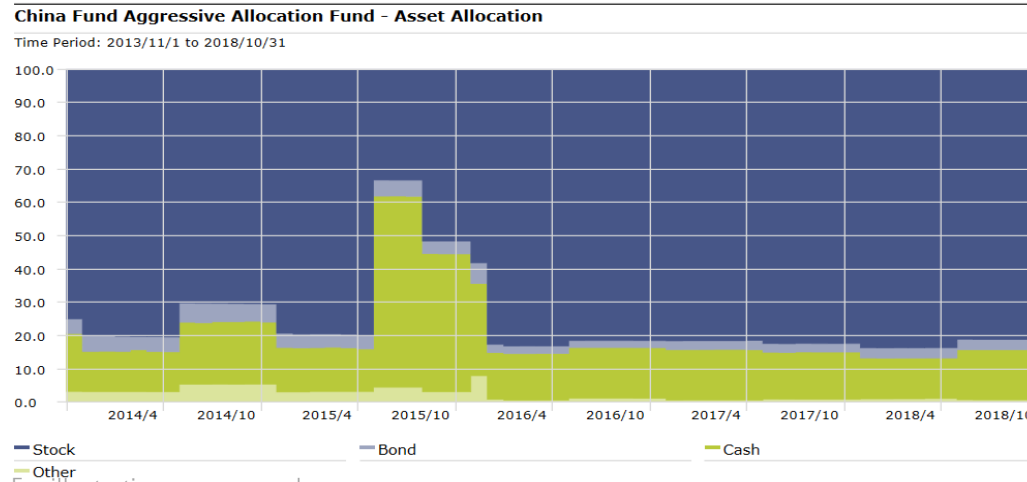


Source: Morningstar, Inc. as of 2018-06-30. For illustrative purposes only.

Morningstar Manager Research

Process – Tactical use of cash is common

- ▶ A regulatory change in August 2015, which lifted the minimum equity exposure for equity funds from 60% to 80%, led to most “Equity” funds reclassified as “Aggressive Allocation” funds.
- ▶ Most managers tend to maintain an equity exposure of greater than 80% (the figure has averaged 81% this year, despite the market downturn), but most portfolio managers prefer to retain greater flexibility (which they have effectively utilised in 2015, for instance).

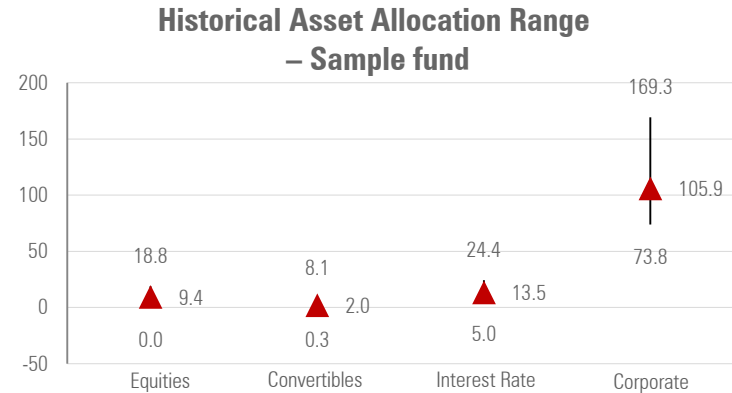
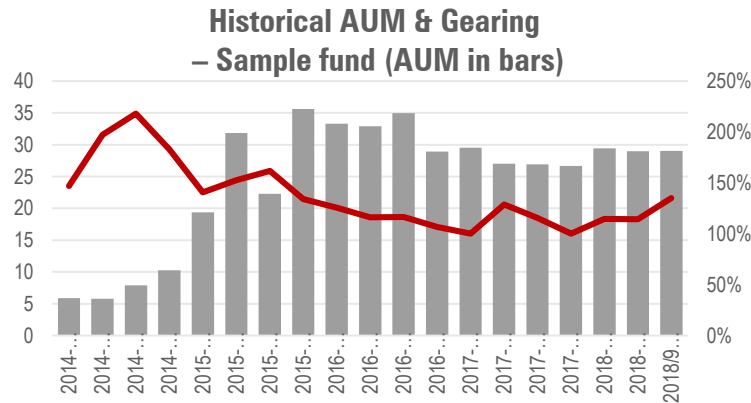


Source: Morningstar, Inc. For illustrative purposes only.

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Process – When a bond fund doesn't just do bonds

- ▶ “Aggressive Bond” and “Normal Bond” funds can invest up to 20% of assets into equities and convertible bonds. Only “Pure Bond” funds invest “purely” in fixed income assets.
- ▶ It is common to see “Aggressive Bond” and “Normal Bond” funds with meaningful internal gearing, though a cap of 140% was introduced in May 2015 to 1) ensure a more sustainable industry development, and 2) to enhance investor protection.



Source: Morningstar, Inc. For illustrative purposes only.

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Process – A tale of two “approaches”

- ▶ Within the equity space it is not uncommon to see a bias towards growth strategies, though onshore managers tend to invest across the market cap spectrum – this is largely a function of their **greater focus on growth**, and **more comprehensive market coverage** (though the gap is narrowing).
- ▶ For many onshore strategies, portfolio turnover remains extremely high by global standards – the portfolio turnover for Aggressive Allocation funds averaged 351% in 2017. Offshore peers tend to average between 30-100%.

Morningstar Style Box - E Fund Kexiang

Portfolio Date: 2017/12/31

				Market Cap	%
Value	Blend	Growth	Large	Market Cap Giant	23.0
				Market Cap Large	36.0
				Market Cap Mid	39.2
			Mid	Market Cap Small	1.8
				Market Cap Micro	0.0
			Small		

Morningstar Style Box - UBS (Lux) EF China Oppo(USD)

Portfolio Date: 2017/12/31

				Market Cap	%
Value	Blend	Growth	Large	Market Cap Giant	54.7
				Market Cap Large	32.0
				Market Cap Mid	10.5
			Mid	Market Cap Small	2.8
				Market Cap Micro	0.0
			Small		

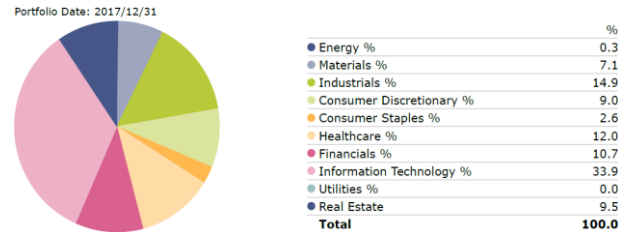
Source: Morningstar, Inc. For illustrative purposes only.

Morningstar Manager Research

Process – A tale of two “approaches”

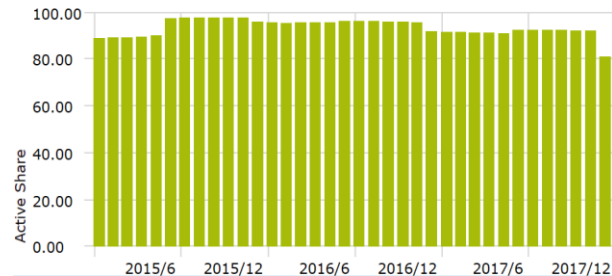
- ▶ Despite the broad agreement on sector outlook, onshore managers tend to more benchmark agnostic and exhibit higher active share.

E Fund Kexiang - Relative to CSI 300 Index

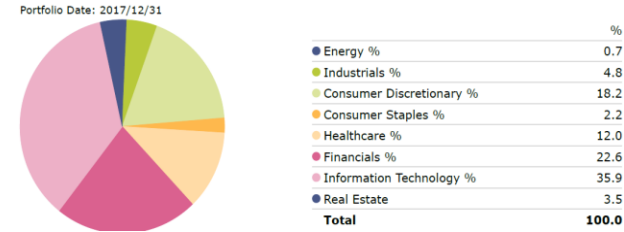


Historical Active Share

Time Period: 2015/1/1 to 2017/12/31

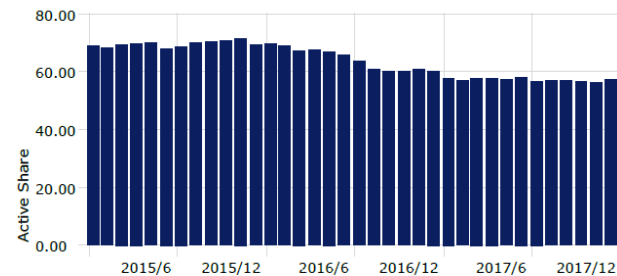


UBS China Opportunity - Relative to MSCI China



Historical Active Share

Time Period: 2015/1/1 to 2017/12/31

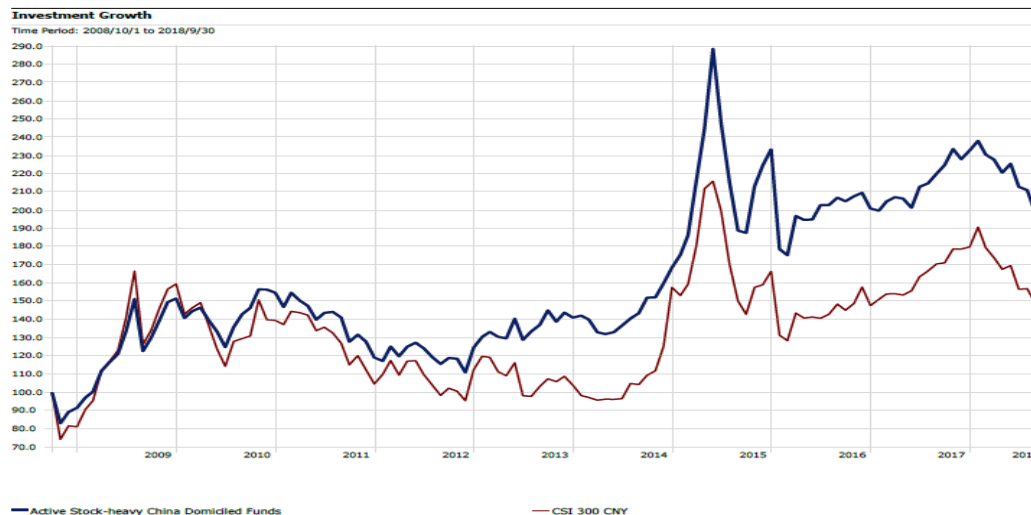


Source: Morningstar, Inc. For illustrative purposes only.

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Performance – When beating the benchmark is nothing out of the ordinary

- ▶ With retail participation of over 80%, the onshore market remains highly inefficient and portfolio managers have had little difficulty outperforming the benchmark
- ▶ **But this can change with greater participation from institutional investors (especially global managers establishing their foothold in China) as the market opens up!**



Source: Morningstar, Inc. For illustrative purposes only.

Questions?

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